

KCB Group: 3Q21 Earnings Note

KCB Group 3Q21 EPS edged up 91.51% to KES 9.92, well above our expectations. PAT was up 131.44% y/y to **KES 25.21Bn** which was also above our expectations driven by a 15.57% y/y increase in total operating income to **KES 79.91Bn** and a 53.39% y/y decline in loan loss provisions to **KES 9.33Bn**. Customer deposits grew 11.19% to **KES 859.10Bn** while the loan book increased by 12.87% to **KES 651.82Bn.**

- **Digital channels buoy efficiency:** Cost to income ratio improved 275bps y/y (-84bps q/q) to 43.51%, underpinning the banks push for digital transaction channels. The improvement was driven by a faster 15.57% y/y increase in total operating income compared to an 8.63% increase in operating expenses less loan impairments to **KES 34.7Bn.** However, the staff costs increased by 22.03% to **KES 18.59Bn** from **KES 15.24Bn** recorded in 3Q20.

- **Net Interest income grows faster than Non funded Income:** Non-interest income growth was above our expectations having grown by 10.29% to **KES 23.47Bn** mainly driven by income from fees and commissions. Interest income grew faster at 16.19% y/y to **KES 73.53Bn** mainly on account of growth in interest from loans and government securities. Net interest margin (NIM) declined to 8.4% y/y from 8.7% while the yield on earning assets also declined to 10.9%. Interest expenses grew 10.84% to **KES 17.09Bn** leading to the cost of funds remaining at 2.6% as the bank continued sourcing for cheaper deposits. Therefore, the revenue mix shifted to **79:21** for NII:NFI from **69:31** in 3Q20.

- **Subsidiary performance boosts Asset quality:** The reduction in the NPL stock in subsidiaries such as NBK, Rwanda and Tanzania helped improve the NPL ratio to **14.94%** from **15.29%** in 3Q20, which is still above the current industry average of **14.0%.** Meanwhile, the NPL coverage remained flat at **58.32%** despite a marginal uptick in the stock of NPL for the Kenyan subsidiary**.** Improving economic conditions have created a better operating environment and therefore we expect the bank's asset quality to continue improving in the coming quarters.

Outlook

The use of digital channels continues to drive an increase in efficiency. We take note of the continued strong growth in the balance sheet on the back of the integration of the recently acquired regional subsidiaries. NPL ratio decline is attributable to an improved lending environment and a resumption of repayments by some of the previously restructured loans. We foresee future growth in bank's earnings being driven by digital channels, regional subsidiaries performance and loan book growth. We expect the announcement of an interim dividend will make the counter attractive in the coming days.

18th November 2021

Current price: KES 44.55

Target price: KES 52.45

Upside: 17.73%

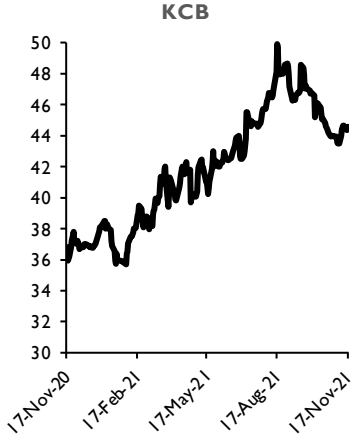
52 Week High: KES 49.90

52 Week Low: KES 35.70

YTD Performance: 16.80%

EPS (3Q21): KES 9.92

Interim DPS (3Q21): KES 1.0



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Table 1 : Financial Statement Summary

Income Statement (KES Millions)	3Q20	FY20	1H21	3Q21	q/q % Change	y/y % Change
Interest Income	63,287	88,745	47,118	73,531	56.06%	16.19%
Interest Expense	15,423	20,808	10,702	17,094	59.73%	10.84%
Net Interest Income	47,863	67,938	36,416	56,437	54.98%	17.91%
Non Interest Income	21,280	28,451	14,794	23,469	58.64%	10.29%
Total Operating Income	69,143	96,388	51,210	79,906	56.04%	15.57%
Loan Loss Provision	20,012	27,508	6,583	9,328	41.69%	(53.39%)
Operating expenses	52,000	70,669	29,294	44,096	50.53%	(15.20%)
Profit Before Tax	**17,143**	**25,719**	**21,916**	**35,810**	**63.40%**	**108.89%**
Profit For the period	**10,891**	**19,604**	**15,301**	**25,207**	**64.74%**	**131.44%**
Basic and Diluted EPS	5.18	6.10	8.53	9.92	16.30%	91.51%

Balance Sheet (KES Millions)	3Q20	FY20	1H21	3Q21	q/q % Change	y/y% Change
Cash Balances	48,624	44,743	63,282	68,091	7.60%	40.04%
Government Securities	236,247	208,765	213,040	252,446	18.50%	6.86%
Net Loans	577,505	595,254	606,967	651,816	7.39%	12.87%
Total Assets	972,009	987,810	1,022,153	1,122,464	9.81%	15.48%
Customer Deposits	772,663	767,224	786,035	859,103	9.30%	11.19%
Total Liabilities	836,064	845,386	869,233	958,081	10.22%	14.59%
Total Shareholder Equity	135,945	142,424	152,920	162,991	6.59%	19.89%

Key Ratios	3Q20	FY20	1H20	3Q20	y/y % points
Loan to Deposit	74.74%	77.59%	77.22%	75.87%	1.13%
NPL Ratios	15.29%	14.80%	14.38%	14.94%	(0.35%)
NPL Coverage	58.55%	59.78%	61.57%	58.32%	(0.23%)
NFI to Total Income	30.78%	29.52%	28.89%	29.37%	(1.41%)
NII to Total Income	69.22%	70.48%	71.11%	70.63%	1.41%
Cost to Income	46.26%	44.78%	44.35%	43.51%	(2.75%)
ROE	13.14%	14.41%	19.17%	22.69%	9.55%
ROA	1.95%	2.08%	2.77%	3.24%	1.29%
Liquidity Ratio	38.10%	36.10%	40.10%	41.30%	3.20%
Core Capital/TRWA	18.00%	18.40%	18.70%	17.40%	(0.60%)
Total Capital/ TRWA	19.80%	21.80%	22.00%	20.70%	0.90%

Source: Company filings, AIB-AXYS



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